M/S Simtech International vs Union Of India on 7 February, 2026

IN THE COURT OF SH. PULASTYA PRAMACHALA
DISTRICT JUDGE, (COMMERCIAL COURT)-01,
PATIALA HOUSE COURT, NEW DELHI

INDEX

Sl. No.	HEADINGS	Page Nos.
1.	Memo of Parties	2
2.	Description of case	2
3.	Brief Facts of the Case	2-3
4.	Grounds of Objections/Challenge	4
5.	Reply filed by the respondent	4-6
6.	Arguments of Parties	6-8
7.	Appreciation of arguments, facts and law	8-17
8.	Decision	17

PULASTYA PRAMACHALA

Digitally signed by PULASTYA PRAMACHALA
Date: 2026.02.07 16:40:23 +0530

(Pulastya Pramachala)
District Judge (Commercial Court)-01,
Patiala House Court, New Delhi

OMP (COMM). 63/2023

In the Matter of: -

M/s Simtech International
HO, 2nd Floor, 12 Community Centre,
Ashok Vihar-II,
New Delhi-110005.

...Petitioner

Versus

Union of India
Through the Dy. Chief Engineer/TS,
Northern Railway, Baroda House,
New Delhi.

.... Respondent

Date of Institution : 29.04.2023

```
Arguments heard on        :     03.02.2026
Decided on                :     07.02.2026
Decision                  :     Petition is dismissed.

JUDGMENT
```

DESCRIPTION OF CASE

1. Present petition under Section 34 of the Arbitration and Conciliation Act, 1996 has been filed by petitioner seeking setting aside of the Arbitral Award dated 24.11.2022, passed by Ld. Arbitrator.

BRIEF FACTS OF THE CASE

2. Brief facts of the case as set up by petitioner are that petitioner was the respondent before ld. Arbitral Tribunal. Petitioner is a firm fully covered under the provisions of MSME Act 2006. As per petition, petitioner manufactures and supplies Elastic Rail clips to the zonal railways from its unit at Bhiwadi, which was approved by Railway Development and Safety Organisation. The OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.2 of 16 Patiala House Court, New Delhi respondent (original claimant) is the Ministry of Railways, Government of India and regularly procures ERC from the petitioner and other manufactures, for its rail network, along with other Zonal Railways.

3. Petitioner filed its bid dated 11.02.2012 offering 3,00,000 nos. of ERC with certain counter conditions in respect of price variation clause, against tender dated 20.01.2022 floated by respondent. Thereafter, petitioner at the request of respondent vide letter dated 19.04.2012 and reminder letter dated 11.05.2012, withdrew the counter conditions I the price clause of their offer and accepted the correspondent tender Price Variation Clause vide letter dated 14.06.2012. Thereafter respondent, relying on the price variation clause of the offer dated 11.02.2012, issued LOA dated 29.06.2012 and PO dated 23.07.2012, revising the offered basic rate from Rs.50.40 to Rs. 50.26 per number, giving rise to the dispute between the parties. The petitioner vide letter dated 24.11.2012 declined to accept the PO, as it was not in line with the offer of the petitioner and requested its withdrawal, but respondent refused to withdraw the PO and demanded security deposit from the petitioner. Thereafter petitioner invoked clause 2900 of the IRS condition. Meanwhile, respondent recovered security deposit amount of Rs.10.00 lakh from the petitioner's running supply bills against different PO dated 14.06.2012 and forfeited the same. Ld. arbitrator was appointed. Respondent had filed a Statement of Claim, which was subsequently withdrawn. Petitioner filed Statement of Defence with Counter Claim. Vide award dated 24.11.2022, ld. arbitrator held that the purchase order dated 23.07.2012 was void in absence of consent of the OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.3 of 16 Patiala House Court, New Delhi petitioner and recovery of Rs.10.00 lakh as security deposit by the respondent was bad in law. Ld. arbitrator however, disallowed the counter claim no. B and C.
GROUNDS OF OBJECTION/CHALLENGE

4. Aggrieved by the Arbitral Award dated 24.11.2022, petitioner has filed present objections under Section 34 of the Arbitration and Conciliation Act, 1996, mainly on the following grounds: -

i. Because the award is in conflict with the public policy and is vitiated by patent illegality and is not sustainable in the eyes of law;

ii. Because ld. arbitrator disallowed the counter claim no. B and C. iii. Because ld. arbitrator held that GCC does not allow payment of interest on earnest money, security deposit and performance guarantee.

iv. Because ld. arbitrator despite holding that the contract was void and recovery of Rs.10.00 lakh was bad in law, disallowed the counter claim no. B. v. Because ld. arbitrator with respect to counter claim no. C, held that contract/agreement between the parties was silent as to the liability towards payment of the fee and expenses incurred during the arbitral proceedings.

vi. Because ld. arbitrator failed to appreciate the fact that the petitioner had incurred huge expense during this period of almost 10 years in litigating the disputes.

REPLY FILED BY RESPONDENT

5. Respondent filed a reply contesting the present petition. It is contended that the petitioner is suppressing the material facts and OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.4 of 16 Patiala House Court, New Delhi has not come with clean hands. Respondent submitted that payment of Rs.10.00 lakh has been made to the petitioner. Respondent submitted that petitioner has accepted the arbitration award and filed application before Rajasthan Micro and Small Enterprises Facilitation Council for the refund of Rs.10.00 lakhs and interest, which is unlawful because these claims were already under adjudication as per arbitration clause, which was revoked by the petitioner on 26.02.2013. Respondent averred that averments in the objection petition does not satisfy any cause of action in favour of petitioner. On merits, respondent denied the averments made in the petition and stated that contract was governed by clause 2401 of IRS conditions, which clearly stipulates that: -

"Whenever any claim or claims for payment of a sum of money arises out of or under the contract against the Contractor, the Purchaser shall be entitled to withhold and also have a lien to retain such sum or sums in whole or in part from the security, if any, deposited by the Contractor and for the purpose aforesaid, the Purchaser shall be entitled to withhold the said cash security deposit or the security, if any, furnished as the case may be and also have a lien over the same pending finalization or adjudication of any such claim. In the event of the security being insufficient to cover the claimed amount or amounts or if no security has been taken from the Contractor, the Purchaser shall be entitled to withhold and have lien to retain to the extent of the such claimed amount or amounts referred to supra, from any sum or sums found payable or which at any time thereafter may become payable to the Contractor under the same contract or any other contract with the Purchaser or the Government pending finalization or adjudication of any such claim.

> It is an agreed term of the contract that the sum of money or moneys so withheld or retained under the lien referred to OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.5 of 16 Patiala House Court, New Delhi above, by the Purchaser will be kept withheld or retained as such by the Purchaser till the claim arising out of or under the contract is determined by the Arbitrator (if the contract is governed by the arbitration clause) or by the competent court as prescribed under Clause 2703 hereinafter provided, as the case may be, and that the Contractor will have no claim for interest or damages what so ever on any account in respect of such withholding or retention under the lien referred to supra and duly notified as such to the Contractor."

Hence it can be ascertained from this clause that Ld. Sole arbitrator rightly dismissed the counter claim no. B by pronouncing award as per terms and conditions of the contract.

ARGUMENTS OF PARTIES

6. Ld. counsel for petitioner argued that ld. arbitrator could not have relied upon GCC conditions to disallow counter claim no. B, when he himself held that PO dated 23.07.2012 was void. Ld. counsel averred that conditions in agreement/contract and GCC, if applicable, would apply only if there was a valid contract between parties. Ld. counsel argued that reliance of respondent to IRS conditions, is erroneous as the contract itself was held void by ld. arbitrator. Petitioner further averred that ld. arbitrator could not have relied on contract to disallow counter claim no. C, since petitioner incurred huge expense during this period of almost 10 years in litigating the disputes with the respondent. Ld. counsel relying on Section 24 of MSME Act, argued that MSME Act has an overriding effect, the petitioner is entitled to interest as per MSME Act.

7. Ld. counsel for the petitioner argued that MSME Act prevails over contract/PO dated 23.07.2012 and as such reliance on GCC clauses or IRS Conditions are misplaced. [referred Gujrat State OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.6 of 16 Patiala House Court, New Delhi Civil Supplies v. Mahakali Foods [(2023) 6 SCC 401]. Ld. counsel further argued that now it is settled that courts have discretionary power under Section 34/37 of the Act to modify the award in question. [referred Gayatri Balasamy v. ISG Novasoft Technologies [(2025) 7 SCC 1]. Ld. counsel further averred that ld. arbitrator could not have relied on the contract and he should have granted interest under MSME Act. [Referred Indian Highways Co. v. Sowil FAO (OS)(COMM) 23/2022]

8. Per contra, ld. counsel for the respondent argued on the lines of reply. Respondent argued that the payment of Rs. 10,00,000/- has since been made by the respondent to the petitioner in compliance with the award rendered by the Ld. Sole Arbitrator. It was argued that arbitrator has rightly and justifiably rejected the counter claim nos. B and C of the petitioner, supported by detailed and well-reasoned grounds for their rejection. Ld. counsel argued that even assuming for the sake argument, without admitting, the P.O/Contract was declared void, such declaration does not affect the applicability of IRS or GCC, as participation in the tender process itself establishes a binding legal relationship/contractual framework governed by these terms. Accordingly, the legal

relationship between the Petitioner and Respondent is defined by the IRS or GCC, irrespective of the P.O/Contract. Ld. counsel further argued that pursuant to section 7 of the Arbitration and Conciliation Act, 1996, a valid arbitration agreement requires a defined legal relationship between the parties. Respondent averred that extended duration of the litigation cannot be attributable to the respondent, if anyone is to be blamed, it is the petitioner themselves.

OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.7 of 16 Patiala House Court, New Delhi Accordingly, the petitioner is not entitled to claim any cost on account of the prolongation of the proceedings. That the petitioner has not suffered any kind of damages and losses attributable to the respondent. Respondent prayed that petition be dismissed. exemplary costs.

9. I have examined the rival contentions and the record of the case.

APPRECIATION OF ARGUMENTS, FACTS & LAW

10. The scope of enquiry under section 34 is restricted to consideration whether any one of the grounds mentioned in section 34 exists for setting-aside the Award. Section 34 of the Act reads as under: -

> "34. Application for setting aside arbitral Award- (1) Recourse to a court against an arbitral Award may be made only by an application for setting aside such Award in accordance with sub-section (2) and sub- section (3).
>
> (2) An arbitral Award may be set aside by the court only if-
>
> (a) the party making the application furnishes proof that-
>
> i) a party was under some incapacity, or
>
> (ii) the arbitration agreement is not valid under the law to which the parties have subjected it or, failing any indication thereon, under the law for the time being in force; or
>
> (iii) the party making the application was not given proper notice of the appointment of an arbitrator or of the arbitral proceedings or was otherwise unable to present his case; or
>
> (iv) the arbitral award deals with a dispute not contemplated by or not falling within the terms of the submission to arbitration, or it contains decisions on matters beyond the scope of the submission to arbitration;

Provided that, if the decisions on matters submitted to arbitration can be separated from those not so submitted, only that part of the arbitral award which contains decisions on OMP (COMM.) No.

63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.8 of 16 Patiala House Court, New Delhi matters not submitted to arbitration may be set aside; or

(v) the composition of the arbitral tribunal or the arbitral procedure was not in accordance with the agreement of the parties, unless such agreement was in conflict with a provision of this Part from which the parties cannot derogate, or, failing such agreement, was not in accordance with this Part; or

(b) the court finds that-

(i) the subject-matter of the dispute is not capable of settlement by arbitration under the law for the time being in force, or

(ii) the arbitral award is in conflict with the public policy of India.

Explanation 1 - For the avoidance of any doubt, it is clarified that an award is in conflict with the public policy of India, only if,-- (i) the making of the award was induced or affected by fraud or corruption or was in violation of Section 75 or Section 81; or (ii) it is in contravention with the fundamental policy of Indian law; or (iii) it is in conflict with the most basic notions of morality or justice.

Explanation 2.- For the avoidance of doubt, the test as to whether there is a contravention with the fundamental policy of Indian law shall not entail a review on the merits of the dispute.

(2A) An arbitral award arising out of arbitrations other than international commercial arbitrations, may also be set aside by the Court, if the Court finds that the award is vitiated by patent illegality appearing on the face of the award:

> Provided that an award shall not be set aside merely on the ground of an erroneous application of the law or by re- appreciation of evidence."

11. The general principles are that Arbitrator is a Judge of the choice of the parties and his decision, unless there is an error apparent on the face of the Award which makes it unsustainable, is not to be set aside by the Court, even if the Court of law could come to OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.9 of 16 Patiala House Court, New Delhi a different conclusion on the same facts. The Court cannot reappraise the evidence and it is not open to the Court to sit in appeal over the conclusion of the Arbitrator. It is not open to the Court to set aside a finding of fact arrived at by the Arbitrator and only grounds on which the Award can be set aside are mentioned in the Arbitration Act. Where the Arbitrator assigns cogent grounds, sufficient reasons and no error of law or misconduct is cited, the Award will not call for interference by the Court in exercise of the power vested in it. Where the Arbitrator is a qualified technical person and expert, who is competent to make assessment by taking into consideration the technical aspects of the matter, the Court would generally not interfere with the Award passed by the Arbitrator.

12. Hon'ble Supreme Court in case of Ssangyong Engineering & Construction Co. Ltd. v. National Highways Authority of India, 2019 SCC OnLine SC 677, held that under Section 34 (2A) of the Act, a decision which is perverse while no longer being a ground for challenge under "public policy of India", would certainly amount to a patent illegality appearing on the face of the Award. A finding based on the documents taken behind the back of the parties by the arbitrator would also qualify as a decision based on no evidence inasmuch as such decision is not based on evidence led by the parties and therefore, would also have to be characterized as perverse. It was held that a finding based on no evidence at all or an Award which ignores vital evidence in arriving at its decision, would be perverse and liable to be set aside on the ground of patent illegality.

OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.10 of 16 Patiala House Court, New Delhi

13. Hon'ble Supreme Court in the case of Associate Builders v. Delhi Development Authority, (2015) 3 SCC 49 held that the interference with an arbitral award is permissible only when the findings of the arbitrator are arbitrary, capricious or perverse or when conscience of the Court is shocked or when illegality is not trivial but goes to the root of the matter. It was held that once it is found that the arbitrator's approach is neither arbitrary nor capricious, no interference is called for on facts. The arbitrator is ultimately a master of the quantity and quality of evidence while drawing the arbitral award. Patent illegality must go to the root of the matter and cannot be of trivial nature.

14. In the case of OPG Power Generation Private Limited v. ENEXIO Power Cooling Solutions India Private Limited and Anr., (2025) 2 SCC 417, while dealing with scope to interfere on the basis of reasoning and interpretation of terms of contract, Hon'ble Supreme Court observed as under: -

> "80. We find ourselves in agreement with the view taken in Dyna Technologes, as extracted above. Therefore, in our view, for the purposes of addressing an application to set aside an arbitral award on the ground of improper or inadequate reasons, or lack of reasons, awards can broadly be placed in three categories:
>
> (1) where no reasons are recorded, or the reasons recorded are unintelligible;
>
> (2) where reasons are improper, that is, they reveal a flaw in the decision-making process; and (3) where reasons appear inadequate.

81. Awards falling in Category (1) are vulnerable as they would be in conflict with the provisions of Section 31(3) of the 1996 Act. Therefore, such awards are liable to be set aside under Section 34, unless:

> OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.11 of 16 Patiala House Court, New Delhi
>
> (a) the parties have agreed that no reasons are to be given, or

(b) the award is an arbitral award on agreed terms under Section 30.

82. Awards falling in Category (2) are amenable to a challenge on ground of impropriety or perversity, strictly in accordance with the grounds set out in Section 34 of the 1996 Act.

83. Awards falling in Category (3) require to be dealt with care. In a challenge to such award, before taking a decision the Court must take into consideration the nature of the issues arising between the parties in the arbitral proceedings and the degree of reasoning required to address them. The Court must thereafter carefully peruse the award, and the documents referred to therein. If reasons are intelligible and adequate on a fair reading of the award and, in appropriate cases, implicit in the documents referred to therein, the award is not to be set aside for inadequacy of reasons. However, if gaps are such that they render the reasoning in support of the award unintelligible, or lacking, the Court exercising power under Section 34 may set aside the award.

Scope of interference with the interpretation/construction of a contract accorded in an arbitral award

84. An Arbitral Tribunal must decide in accordance with the terms of the contract. In a case where an Arbitral Tribunal passes an award against the terms of the contract, the award would be patently illegal. However, an arbitral Tribunal has jurisdiction to interpret a contract having regard to terms and conditions of the contract, conduct of the parties including correspondences exchanged, circumstances of the case and pleadings of the parties. If the conclusion of the arbitrator is based on a possible view of the matter, the Court should not interfere. But where, on a full reading of the contract, the view of the Arbitral Tribunal on the terms of a contract is not a possible view, the award would be considered perverse and as such amenable to interference.

Whether unexpressed term can be read into a contract as an implied condition

85. Ordinarily, terms of the contract are to be understood in the OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.12 of 16 Patiala House Court, New Delhi way the parties wanted and intended them to be. In agreements of arbitration, where party autonomy is the grund norm, how the parties worked out the agreement, is one of the indicators to decipher the intention, apart from the plain or grammatical meaning of the expressions used.

86. However, reading an unexpressed term in an agreement would be justified on the basis that such a term was always and obviously intended by the parties thereto. An unexpressed term can be implied if, and only if, the court finds that the parties must have intended that term to form part of their contract. It is not enough for the court to find that such a term would have been adopted by the parties as reasonable men if it had been suggested to them. Rather, it must have been a term that went without saying, a term necessary to give business efficacy to the contract, a term which, although tacit, forms part of the contract.

87. But before an implied condition, not expressly found in the contract, is read into a contract, by invoking the business efficacy doctrine, it must satisfy the following five conditions:

(a) it must be reasonable and equitable;

(b) it must be necessary to give business efficacy to the contract, that is, a term will not be implied if the contract is effective without it;

(c) it must be obvious that "it goes without saying";

(d) it must be capable of clear expression;

(e) it must not contradict any terms of the contract."

15. In the present case, limited question for determination revolves around the contract being declared void by ld. Arbitrator. Petitioner's objection is based on the argument that once ld. Arbitrator declared the contract as void, then he could not have relied upon the contract to deny or cost. However, it has been overlooked by petitioner that there were separate contracts between the parties. After being awarded the tender in question, petitioner had entered into one set of contract, which included OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.13 of 16 Patiala House Court, New Delhi GCC and IRS. Purchase order was different set of contract. Ld. Arbitrator gave his findings in respect of Purchase order, to declare it void for want of consensus between the parties. Ld. Arbitrator did not declare GCC or IRS to be void. In fact, petitioner itself had relied upon IRS, when vide letter dt. 26.02.2013 arbitration was invoked by it, in terms of clause 2900 of IRS. Therefore, questioning applicability of IRS or GCC by petitioner, cannot be sustained at all. Therefore, reliance over GCC or IRS, to deny interest or cost, cannot be said to be perverse action on the part of ld. Arbitrator. It is not in dispute that interest on security deposit or earnest money, was specifically prohibited in IRS. As per clause 2900 IRS, cost was also matter of discretion of ld. Arbitrator, which was so exercised by him.

16. Petitioner has also raised another plea that being special enactment, MSME Act will prevail upon the contract/PO dt. 23.07.2012. Once again, I find this argument to be misconceived, because, special enactment may prevail upon provisions of general enactment, but not over terms of a duly executed contract between two parties, unless it is contravening any legal provisions. The case laws relied upon by petitioner refer to Special Act and General Act, and not to Special Act and Contract between two parties.

17. Petitioner argued that Arbitrator could have granted cost, and this court has the power to modify the award. In the case of Gayatri Balasamy v. ISG Novasoft Technologies Ltd., (2025) 7 SCC 1, Supreme Court while dealing with power of the court u/s 34 of OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.14 of 16 Patiala House Court, New Delhi the Act to modify the award, held as under: -

> "49.Notwithstanding Section 33, we affirm that a Court reviewing an award under Section 34 possesses the authority to rectify computational, clerical, or typographical errors, as well as other manifest errors, provided that such modification does not necessitate a merits-based evaluation. There are certain powers inherent to the Court, even when not explicitly granted by the legislature. The scope of these inherent powers depends on the nature of the provision, whether it pertains to appellate, reference, or limited jurisdiction as in the case of Section 34. The powers are intrinsically connected as they are part and parcel of the jurisdiction exercised by the Court."

18. Aforesaid observations make it clear that rectification/modification has very limited scope, and it cannot resorted to in all situations. In respect of interest, in the same case Supreme Court held as under: -

> "78.Inherent in the discussion above, is the Court's power to both increase or decrease the post-award interest rate. It would be incorrect to state that the Court's power to interfere with this interest rate is limited solely to decreasing the interest rate. Situations may arise where the rate should be increased due to delays or obstructions in the execution of the award. Interest rates may also fluctuate over time.
>
> 79. However, the Court, while exercising this power, must be cautious and mindful not to overstep its role by altering the interest rate unless there are compelling and well-founded reasons to do so. In exercising this power, the Court is not acting in an appellate capacity, but rather under limited authority. For instance, the 1996 Act stipulates a standard post- award interest rate. When the statute itself benchmarks a standard, unless there are special and specific reasons, the rate of interest stipulated by the statute should be applied."

19. Thus, the power to modify interest as well, court has to act in very compelling circumstances, and that too in respect of post award interest. The summary of power of court u/s 34 of the Act, OMP (COMM.) No. 63/2023 (Pulastya Pramachala) District Judge (Commercial Court)-01, Page No.15 of 16 Patiala House Court, New Delhi as held in aforesaid case are as under: -

> "87. Accordingly, the questions of law referred to by Gayatri Balasamy [Gayatri Balasamy v. ISG Novasoft Technologies Ltd., 2024 SCC OnLine SC 1681] are answered by stating that the Court has a limited power under Sections 34 and 37 of the 1996 Act to modify the arbitral award. This limited power may be exercised under the following circumstances:
>
> 87.1. When the award is severable, by severing the "invalid"

portion from the "valid" portion of the award, as held in Part II of our Analysis;

87.2. By correcting any clerical, computational or typographical errors which appear erroneous on the face of the record, as held in Parts IV and V of our Analysis; 87.3. Post-award interest may be modified in some circumstances as held in Part IX of our Analysis;"

20. In the present case, none of the situations contemplated in above- mentioned observations, are satisfied. Under S. 34 of the Act, this court is not supposed to interfere with the award for any kind of error. The error has to be manifestly so much grave, so as to make it perverse. As far as denial of interest and cost to the petitioner is concerned, from the given reasons in the award, I do not find any such perversity in the approach of ld. Arbitrator and the award.

DECISION

21. In view of above-mentioned discussions, observations and findings, petition is dismissed.

PULASTYA PRAMACHALA
PRAMACHALA Date: 2026.02.07
16:40:37 +0530

Pronounced in the (PULASTYA PRAMACHALA)
Open Court on this District Judge (Commercial Court)-01,
07 Day of February, 2026
th
Patiala House Court, New Delhi

OMP (COMM.) No. 63/2023 (Pulastya Pramachala)
District Judge (Commercial Court)-0
Page No.16 of 16 Patiala House Court, New Delhi